ASSETS · TRADING

Strategies, tested on paper first

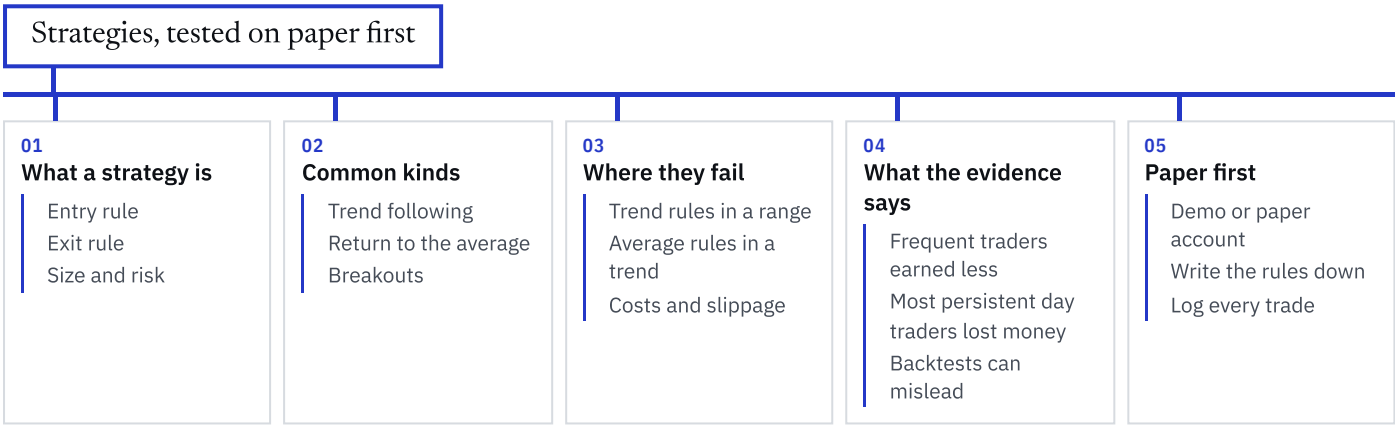
How common strategies work. No strategy is perfect; try any of them on a demo or paper account first.

PLANNED

What you will learn

A trading strategy is a set of rules: when to enter, when to exit, and how much to risk. This piece describes how a few common kinds work, such as following a trend, expecting a return to the average, and trading a breakout, and where each one tends to fail. Then it looks at the evidence: individual investors who traded the most earned less, most people who kept day trading lost money, and a backtest can look perfect while saying little about the future. Hence the rule here, paper first: test any idea on a demo or paper account before real money. Education only, never advice.

Map of the piece



Sources

1 **Trading Is Hazardous to Your Wealth: The Common Stock Investment Performance of Individual Investors**
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2 **Day Trading for a Living?**
Fernando Chague, Rodrigo De-Losso and Bruno Giovannetti, SSRN working paper, 2019
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3 **Frequent Intraday Trading: Understanding the Basics**
FINRA, 2026
finra.org

4 **Pine Script v6 User Manual: Strategies**
TradingView, 2026
tradingview.com

Each source was opened and checked on 14 October 2026. The finished piece may add more.